# EQUITY RESEARCH COMPETITION

INVENTURE

Leveraging Economic Sustainability: From Compliance to Competitive Marketing Advantage

JAPFA

**TEAM:**

PIRANHUY

**TITLE:**

Priced for the Trough, Paid Through the Cycle

**TICKER SYMBOL:**

JPFA:IJ

# PT Japfa Comfeed Indonesia Tbk.

Indonesia Stock Exchange (IDX)
Ticker : JPFA:IJ
Sector : Consumer Non-Cyclicals
Industry : Agricultural Products

**BUY ▲**
Current Price : **2,250**
Target Price : **2,770**
Upside : **23.1%**
(as of 11 September 2026)

## PRICED FOR THE TROUGH, PAID THROUGH THE CYCLE

### Figure 1.1 Market Overview

*Source : Yahoo! Finance, Team Analysis*

**Market data**

| Item | Value |
|---|---|
| Price, 11 Sep 2026 (Rp) | 2,250 |
| 52-week range (Rp) | 1,750–2,970 |
| Shares outstanding (m) | 11,705 |
| Market cap (Rp tn) | 26.3 |
| Enterprise value (Rp tn) | 40.4 |
| Controlling holder | Japfa Pte Ltd 56.3% |
| 1-year return: JPFA / JCI | +19.4% / −15.6% |

### Figure 1.2 Valuation Summary

*Source : Financial Reports, Team Analysis*

| Method | Weight | Rp/sh |
|---|---|---|
| DCF-FCFF | 70% | 3,011 |
| Peers (five, median) | 30% | 2,220 |
| **Target (rounded)** | | **2,770** |
| Bear / bull (WACC ±1pt) | | 2,290 / 3,470 |

### Figure 1.3 Financial Highlights

*Source : Financial Reports, Team Analysis*

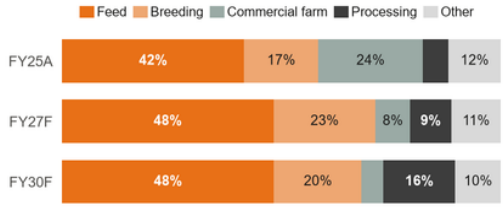
| Business metrics | FY23A–25A | FY26F–30F |
|---|---|---|
| Revenue (CAGR) | 8.9% | 9.7% |
| EBITDA (CAGR) | 51.4% | 0.8% |
| Profit to owners (CAGR) | 107.5% | −1.3% |
| Operating margin (avg) | 7.9% | 8.1% |
| Capex / sales (avg) | 3.6% | 4.0% |
| Net gearing (period end) | 0.41x | 0.23x |

### Figure 1.4 Share 1Y Price Performance

*Source : Yahoo! Finance, Team Analysis*

### Figure 1.5 Segment Result Mix

*Source : Financial Reports, Team Analysis*




## Investment Summary

One of Indonesia's largest integrated poultry producers is PT Japfa Comfeed Indonesia Tbk (JPFA). JPFA has produced animal protein for Indonesia since 1971 and now runs an integrated chain from animal feed and breeding to commercial farms, processed food, aquaculture and trading. We believe the company is priced for the trough but will be paid through the cycle. We initiate coverage with a BUY and a target price of Rp 2,770, 23.1% above the 11 September 2026 close. The target blends a free-cash-flow DCF (70%, Rp 3,011) with a relative valuation on five listed poultry peers (30%, Rp 2,220). Our view rests on three theses: JPFA stays profitable through the trough, it is turning from a livebird seller into a food company, and the market still prices it for the old cycle.

### Thesis 1 : Stays Profitable Through the Trough

JPFA's profitability should hold up strong, even at the trough of the poultry cycle. Feed is priced cost-plus over corn and soybean meal, so the feed segment margin has held in a narrow 6.7%–9.6% band since 2021, while breeding swung between 3.6% and 25.6%. JPFA also stocks up on corn and soybean meal when prices are favourable. In 2Q26, the worst livebird quarter in years, the commercial farm segment lost Rp 496bn, yet the group still earned a profit to owners of Rp 659bn.

Feed carries the group through the cycle. It earned Rp 1.9–3.1tn of segment profit in every year from FY20 to FY25, and in 1H26, which held the worst livebird quarter in years, its margin was 9.6%, the top of its band **(Annex 4)**. In our model the feed segment result rises from Rp 4.1tn in FY26F to Rp 4.8tn in FY30F, about 48% of the group total **(Figure 1.5)**. Even if the 2027–28 supply wave and a 25% rise in corn and soybean meal arrive in the same years, profit to owners stays at Rp 2.0–2.2tn, level with the best year of the old cycle. Signpost: a feed segment margin below 6.7% for two halves in a row.

### Thesis 2 : From Livebird Seller to Food Company

JPFA is moving downstream to capture more of the margin in its own poultry chain. Management plans to process 40% of its own birds by 2030, up from 15-20% today (JPFA, 2026d), and the spending has started: poultry processing and consumer products (PPCP) capex reached Rp 459bn in 1H26, more than the Rp 380bn spent in all of FY25. PPCP segment sales rose 29.8% year on year to Rp 6.26tn in 1H26. We project PPCP sales to grow from Rp 10.1tn in FY25 to Rp 37.9tn in FY30F, about 30% a year.

The shift changes the quality of earnings as much as their growth. Processing earns a steadier 4–5% margin, and because birds are its main input it does better when livebird prices fall, which is when the farm segment does worst. In our forecast its segment result rises from Rp 0.44tn in FY25 to Rp 1.62tn in FY30F, passes commercial farming in FY27F and lifts its share of the group's segment result from 6% to 16% (**Figure 1.5**). It also ties up less working capital per rupiah of sales, about 0.68x the group's. The ramp needs slaughter capacity, cold-chain distribution and buyers for branded products.

**Figure 1.6 Profit to Owners**

***Source : Financial Reports, Team Analysis***

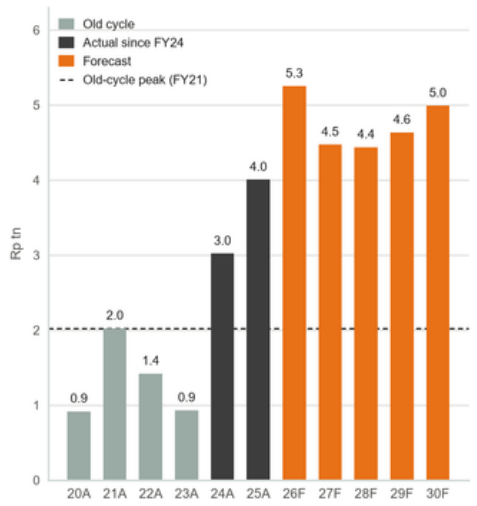



**Figure 2.1 JPFA Product Portfolio**

***Source : Yearly Report, Team Analysis***

So Good, So Nice, Real Good, Olagud, Tokusen, Seafood Lovers, etc

**Figure 2.2 Inter-Segment Sales, FY20–25**

***Source : Financial Reports, Team Analysis***

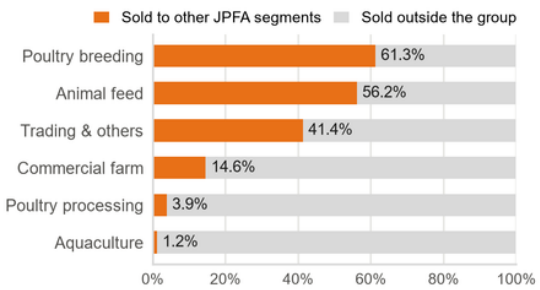
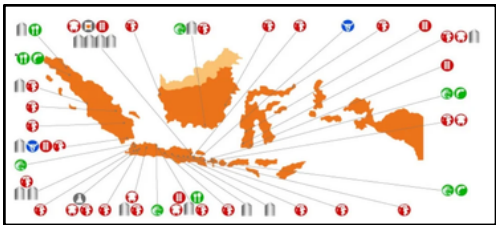



**Figure 2.3 JPFA Across Indonesia**

***Source : Yearly Report, jpfacomfeed.co.id***



Animal feedmills, breeding farms, hatcheries, slaughter houses, etc. across Indonesian archipelago.

If in-house processing reaches only 30% by 2030, processing sales reach Rp 28.4tn instead of Rp 37.9tn and the target falls to Rp 2,690, so the thesis can slip without breaking the call. Signpost: processing sales growth under 20% for two halves.

### Thesis 3 : Priced For The Old Cycle

JPFA now earns at a structurally higher level than it did in the previous cycle. Profit to owners ranged from Rp 0.9tn to Rp 2.0tn in FY20-FY23. Since FY24 it has been Rp 3.0-4.0tn, and 1H26 alone earned Rp 2.5tn. Demand supports the new level: national feed output is forecast to reach 23.6m tonnes by 2026/27 (USDA FAS, 2026a). Yet at 5.0x trailing earnings, the share price implies an 11.6% WACC against our 10.46%, as if profit were returning to the old range. We forecast profit to owners of Rp 4.4-5.3tn a year in FY26F-FY30F, so we see the stock as mispriced.

Part of the step up came from cheaper feed inputs, which lifted the gross margin before D&A from 16.3% in FY23 to 23.2% in FY25, and we do not assume that lasts. In our model segment margins revert halfway to their FY21–25 averages each year. Profit still holds at Rp 4.4–5.0tn a year after FY26F, because revenue keeps growing 9.7% a year, processing adds a steadier stream of profit and debt is far lower, with net debt down from 3.5x EBITDA in FY23 to 1.1x in FY25. Even our lowest year, FY28F, is more than twice the old-cycle peak (**Figure 1.6**). At Rp 2,250 the shares trade at 5.0x FY26F earnings and 5.3–5.9x after that, and a 40% payout gives a dividend yield of 6.7–8.0%, which pays holders while the gap to fair value closes.

## Business Description

JPFA is one of Indonesia's largest integrated poultry-food companies, with about 22% of national feed capacity and 25% of day-old chick (DOC) capacity (JPFA, 2026c). Its economic moat is a high degree of integration from upstream to downstream across six business segments **(Figure 2.4)**. Upstream, it makes animal feed and breeds its own birds, from imported grandparent stock (GPS) down to livebirds. Downstream, it sells ready-to-cook and processed foods under nationally known brands (**Figure 2.1**). In between, the midstream runs hundreds of commercial farms and processing plants, and aquaculture and trading sit alongside the poultry chain. Poultry makes up about 88% of revenue. This vertical integration gives JPFA control over its supply chain and a steady base of internal volume.

### Nationwide Integrated Model Drives Structural Volume Growth

JPFA's integration lets it price feed cost-plus and keeps its balance sheet steady through the cycle. Integration also creates structural volume: a large share of each segment's sales goes to other JPFA segments, averaging 56.2% of animal feed sales, 61.3% of poultry breeding sales, 14.6% of commercial farm sales and 3.9% of poultry processing sales over 2020–25 **(Figure 2.2)**. With more than half of feed and breeding sales going to its own farms, those segments keep a captive buyer even when outside demand is weak.

JPFA is Indonesia's second-largest producer of feed and DOC. It runs 15 feed mills, 79 breeding farms and 30 hatcheries, supported by more-

**Figure 2.4 Business Segments**

***Source : JPFA Yearly Report***

**About 88% of revenue is poultry-related:**

**Animal Feed :**
- Comfeed
- Benefeed
- Others

**Poultry Breed :**
- MB202
- MB2020
- Others

**Commercial Farm :**
- Livebird

**Poultry Processing :**
- Carcass

**Consumer Products :**
- So Good
- So Nice
- Olagud
- Others

**Aquaculture and Trading**

Upstream → Midstream → Downstream

**Figure 2.5 PPCP Capex vs Rest of Group**

***Source : JPFA Financial Reports, segment note***

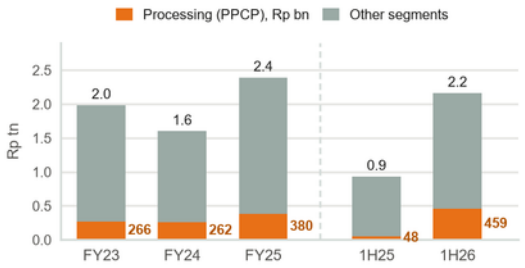



**Figure 3.1 Indonesia GDP Growth**

***Source : Badan Pusat Statistik***

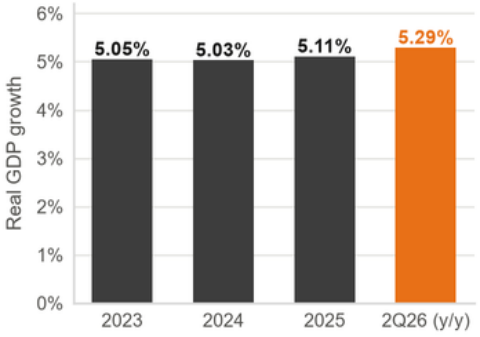



**Figure 3.2 GDP Growth Components**

***Source : Badan Pusat Statistik***

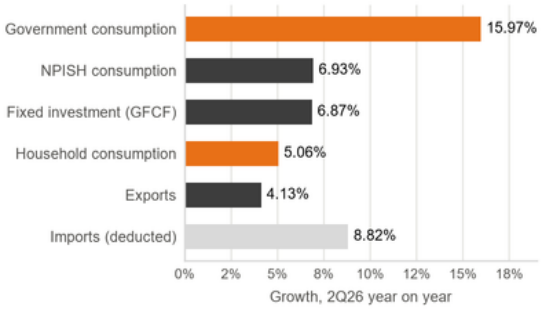



**Figure 3.3 GPS Import Quota Shares**

***Source : Ditjen PKH via Tempo; USDA FAS***

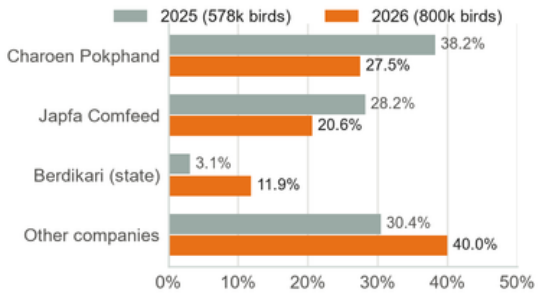
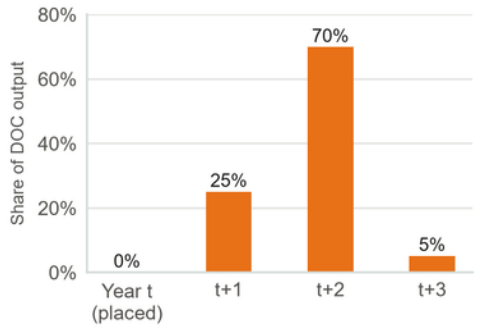



**Figure 3.4 GPS-to-DOC Supply Lag**

***Source : Team Cohort Model; USDA FAS***




than 130 company farms and more than 8,700 contract farms (**Figure 2.3**), and raw-material buying is centralised through the wider Japfa Group. Downstream, it runs 15 slaughterhouses and three meat processing units, and in 2025 it built a second slaughterhouse at Pemalang, with cold storage (JPFA, 2026a). Upstream, it dries corn at 15 sites outside its feed mills, mostly in growing areas such as Lampung and Sumbawa.

### Continuous Technology Adoption Supports Efficiency

JPFA's 2025 annual report theme is "Driving Sustainable Growth through Innovation and Efficiency". Its feed mills use near-infrared spectroscopy (NIRS) to check raw-material quality, and its farms run tighter biosecurity against disease. We expect both to improve efficiency and make biological asset growth more consistent. Its processing plants hold international certifications, so its products meet export-grade quality standards and can reach a wider market. Processing is also where new capital is going, with PPCP capex of Rp 459bn in 1H26 alone (**Figure 2.5**).

## Macroeconomic & Industry Overview

### Demand Grows With the Economy

Indonesia's economy grew 5.29% year on year in 2Q26, after 5.11% in 2025 (**Figure 3.1**). Household consumption grew 5.06% and government consumption 15.97% (18.62% for 1H26), driven mainly by civil-service pay and allowances, with Rp 44.7tn of meal-programme spending in the quarter **(Figure 3.2)**. Both feed through to protein demand, and so to JPFA's volumes.

### Rupiah and Rates

Two market prices matter most for JPFA. The rupiah reaches costs through soybean meal, which is priced in dollars. JPFA's own balances imply Rp 16,782/US$ at 31 December 2025 and Rp 17,857 at 30 June 2026, 6.4% weaker (JPFA, 2026b), and JISDOR stood at 17,611 on 11 September (Bank Indonesia, 2026b). Rates set the discount rate. The 10-year government bond yield rose from 6.1% in December 2025 to 7.0–7.3% since June 2026 (Investing.com, 2026).

### GPS Imports Signal the Next Supply Cycle

Broiler supply is set largely by grandparent stock (GPS) imports, and changes in GPS show up in the DOC population about two years later (USDA FAS, 2026a). The national allocation rose from 530,000 birds in 2024 to 578,000 in 2025 and 800,000 in 2026, up 38% in a single year, and was split among 27 breeding companies against 24 before. JPFA kept 165,000 birds, while state-owned Berdikari's allocation rose five-fold (**Figure 3.3**). Our cohort model tracks each batch through two generations of rearing and laying. About 25% of a year's GPS reaches final-stock output the next year and 70% the year after, so the 2026 allocation lands as extra supply in 2027–28 (**Figure 3.4, Annex 10**).

### Prices: Volatile Around a Policy Floor

Retail broiler meat averaged Rp 42,577/kg in September 2026, above 2024–25 levels, while eggs held at Rp 29,819/kg (Bank Indonesia, 2026a). The chicken-to-egg price ratio rose to 1.43x from 1.18–1.28x, which points to tighter chicken supply (**Figure 3.5**). Prices still swing hard. Farm-gate livebird prices fell to Rp 13,000–14,000/kg in June 2026 (detikFinance, 2026), below farmers' cost of Rp 22,000–23,000/kg, before recovering to Rp 24,519/kg in August (Kontan, 2026). The producer reference price (HAP) is Rp 25,000/kg and the cost floor (HPP) rose from Rp 18,000 to Rp 19,500/kg in July 2026, but neither is enforced (Badan Pangan Nasional, 2024; InfoPublik, 2025; CNN Indonesia, 2026a). The recovery came from supply action: early culling, lower hatchery output and absorption commitments from integrators. Prices by province are in Annex 12.

**Figure 3.5 Retail Poultry Prices**

***Source : Bank Indonesia (PIHPS)***

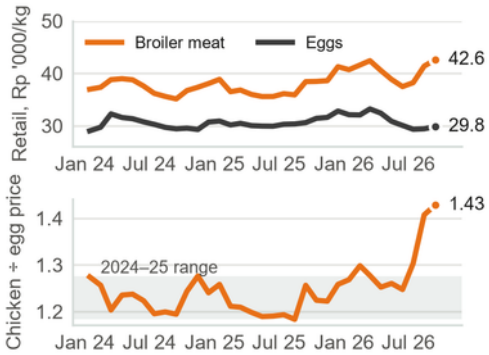



**Figure 3.6 Corn and SBM Prices**

***Source : IMF (FRED), USDA FAS, Kontan***

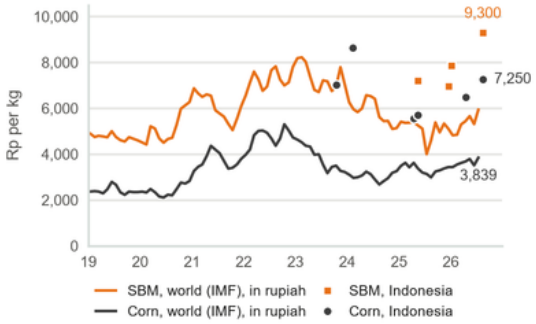



**Figure 3.7 MBG Chicken Demand**

***Source : BGN, USDA, GOPAN, Team Analysis***

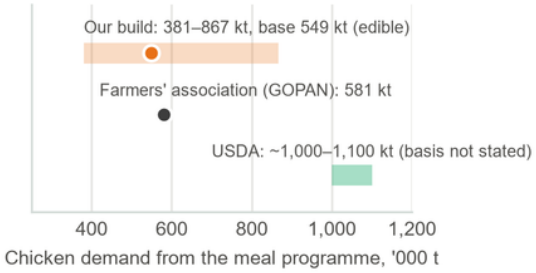



**Figure 4.1 From DCF to Target Price**

***Source : JPFA 1H26 Report, Team Analysis***

| Step | Rp bn | Rp/sh |
|---|---|---|
| Cash flows, 2H26–2030 | 7,028 | 600 |
| Terminal value | 42,326 | 3,616 |
| **Enterprise value** | **49,353** | **4,216** |
| Less net debt | −13,668 | −1,168 |
| Less minorities | −1,511 | −129 |
| Add JVs, investments | 1,071 | 91 |
| **DCF value** | **35,244** | **3,011** |
| Peers, P/E 5.8x | | 2,615 |
| Peers, EV/EBITDA 4.0x | | 1,825 |
| **Peer value (average)** | | **2,220** |
| **Target price (70/30)** | | **2,770** |
| Upside to Rp 2,250 | | 23.1% |

**Figure 4.2 Target Price Sensitivity**

***Source : Team Analysis, 70% DCF and 30% peers***

| WACC \ g | 4.5% | 5.0% | 5.5% |
|---|---|---|---|
| 9.46% | 3,150 | 3,470 | 3,880 |
| **10.46%** | 2,560 | **2,770** | 3,030 |
| 11.46% | 2,140 | 2,290 | 2,470 |

## Competitive Positioning: Integrated Peers

CPIN and MAIN run integrated models like JPFA's, from feed and breeding to farms and processed food, yet their share prices have diverged. Over three years JPFA returned +105%, against −31% for CPIN, +67% for MAIN and −6% for the JCI (Yahoo Finance, 2026). The 2026 GPS allocation is the main competitive challenge. JPFA's share fell from 28.2% to 20.6%, while Berdikari took 11.9% (**Figure 3.3**). If JPFA's DOC capacity stays at its allocated 165,000 birds while national supply grows, its share of final-stock DOC output could fall from about 30% to 21% by 2028 (**Annex 10**). Integration still gives JPFA an internal outlet for most of its breeding output, but competition for outside DOC sales will get tougher.

## Demand: MBG Could Add About 14%

We size MBG's chicken needs from the programme's technical guidelines, using 71m average 2026 recipients, weighted service days, chicken on 40% of days (our assumption) and 78g per serving. That gives about 549kt, roughly 14% of national demand of 3.9m tonnes, with a range of 381–867kt across our bear and bull cases (**Figure 3.7, Annex 13**). USDA puts MBG chicken demand at 1.0–1.1m tonnes, a figure that also appears as a government production target, so we treat it as a policy reference. MBG also favours larger birds, with grow-out lengthening from about 30 days to 35–40 days (USDA FAS, 2026a), so we expect it to help JPFA mainly through feed volumes.

# Valuation

## Two Methods Point to Rp 2,770

Our target price blends a DCF (70% weight) with peer multiples (30%). The peer set is five listed integrated poultry producers: CPIN and MAIN in Indonesia, GFPT and Thai Foods in Thailand, and Leong Hup in Malaysia. The blend gives a target price of Rp 2,770, 23.1% upside to the 11 September 2026 close of Rp 2,250 (**Figure 4.1**). **Figure 4.4** sets each method's range against the 52-week trading band of Rp 1,750 to Rp 2,970.

The DCF discounts free cash flow to the firm (FCFF) from 2H26 to 2030, starting from the 30 June 2026 balance sheet. 2H26 takes half of the full-year FCFF, or Rp 1,020bn. Processing grows faster than the rest of the group, so two inputs follow its rising share of sales. Its working capital is scaled to its lower capital intensity, 0.68x the group's, and its capex is set at 3.3% of segment sales, the FY20–25 average. Beyond 2030 we use 5.0% terminal growth, with capex back at maintenance level. The terminal value makes up 86% of enterprise value. That weight is high because the group's roughly Rp 3tn capex programme in 2026 holds down near-term cash flow. After deducting net debt and minority interests and adding joint ventures, equity value is Rp 35.2tn, or Rp 3,011 per share.

## The Discount Rate Matters Most

We discount at a WACC of 10.46%, with equity and debt weighted 61.8% and 38.2% (**Figure 4.3**). Equity is taken at market value at Rp 2,250 and debt at gross borrowings. Cost of debt is 9.31%, the rate on JPFA's July 2026 rupiah bond, or 7.26% after tax. Cost of equity is 12.43%, built from the 7.09% 10-year government bond yield and a 6.69% Indonesian equity risk premium. Beta is 0.80, unlevered from CPIN and MAIN and relevered at JPFA's capital structure. A regression on JPFA's own returns gives 0.79, which supports the choice.

The target is most sensitive to the discount rate. A WACC one point higher cuts it to Rp 2,290, only 2% upside and a HOLD. One point lower lifts it to Rp 3,470 (**Figure 4.2**). Stressing beta to 1.20 raises WACC to 12.13% and cuts the target to Rp 2,040, 9% below the current price. That beta sits well above both the peer estimate and JPFA's own 0.79, so we treat it as a stress case. Solving backwards, the current price implies a WACC of about 11.6%, so the market already prices in a sizeable risk premium (**Figure 4.3**).

**Figure 4.3 WACC Build**

***Source : Damodaran (2026), Team Analysis***

| Input | Value |
|---|---|
| Risk-free rate, 10Y bond | 7.09% |
| Equity risk premium | 6.69% |
| Beta (peers, relevered) | 0.80 |
| **Cost of equity** | **12.43%** |
| Cost of debt, pre-tax | 9.31% |
| Cost of debt, after tax | 7.26% |
| Equity / debt weight | 61.8 / 38.2% |
| **WACC** | **10.46%** |
| Terminal growth | 5.0% |
| Market-implied WACC | 11.6% |
| WACC with beta 1.20 | 12.13% |

**Figure 4.4 Valuation Range**

***Source : Yahoo! Finance, Team Analysis***

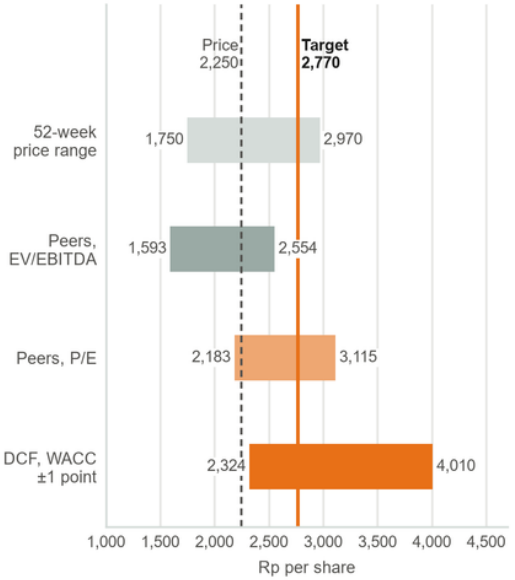



**Figure 4.5 Scenario Targets**

***Source : Team Analysis (full model reruns)***

| Scenario | Target | Upside |
|---|---|---|
| Grey Sky (HOLD) | 2,410 | 7.1% |
| **Base (BUY)** | **2,770** | **23.1%** |
| Blue Sky (BUY) | 3,200 | 42.2% |

**Figure 4.6 Price in Sep 2029, P5–P95**

***Source : Team Analysis (10,000 price paths)***

Operating shocks matter less. If half of the expected 2027–28 DOC oversupply passes through to broiler prices, the target only falls to Rp 2,680, since the impact fades after about two years.

## Peers Say the Shares Are Fairly Priced

Peer multiples use trailing 12-month results to June 2026. The five peers trade at a median 5.8x P/E and 4.0x EV/EBITDA, against 5.0x and 4.5x for JPFA. JPFA's discount on P/E and premium on EV/EBITDA reflect its heavier balance sheet, with Rp 13.7tn of net debt against a market value of about Rp 26tn. On JPFA's earnings and EBITDA, the peer medians imply Rp 2,615 and Rp 1,825 per share, an average of Rp 2,220. That sits close to the current price, so on relative terms JPFA looks fairly valued and the upside comes from the DCF. Leaving out the highest and lowest peer, the range is Rp 2,183 to Rp 3,115 on P/E and Rp 1,593 to Rp 2,554 on EV/EBITDA. We keep a 30% weight on peers as a market cross-check on the DCF, since multiples show where investors price the sector today.

## Two Scenarios: Grey Sky and Blue Sky

Our two scenarios move the drivers behind all three theses at once and rerun the full model. Grey Sky lets the main risks land together: half of the 2027–28 DOC supply gap reaches livebird prices, corn and SBM rise another 25% in FY27F, in-house processing reaches only 30% by 2030 and the MBG programme is halved. The target falls to Rp 2,410, 7% upside and a HOLD. Blue Sky has the theses play out faster: corn and SBM 10% cheaper than our base path, livebird prices 2 points above CPI in FY27–28F, a 5.0% processing margin and MBG at its 82.9m run-rate. The target rises to Rp 3,200, 42% upside (**Figure 4.5**). Peer value is the same in both, so the spread comes from the DCF.

The signposts under Investment Risk show which scenario is taking shape. A 2027 GPS quota at or below the 2026 level, a wider corn import quota and processing growth above 20% for two halves point to Blue Sky. A higher GPS quota, another rise in corn and SBM prices and falling MBG recipient numbers point to Grey Sky.

## Three Years of Price Paths

We then run 10,000 share-price paths over the next three years. Each path heads towards the fair value of one of 1,000 full-model runs, in which the five risks in Investment Risk are drawn at once. Corn, SBM, the rupiah and the 10-year bond yield move as they did over 2019–26 (International Monetary Fund, 2026; Investing.com, 2026). Fair value grows 5.2% a year, our 12.4% cost of equity less a 7.2% dividend yield. Each year the price closes half of its gap to fair value, with JPFA's 37% annual volatility on top. The median path passes Grey Sky in July 2027 and our target in August 2029. After one year the median path is at Rp 2,456 and the middle half of paths sits between Rp 2,026 and Rp 2,968. At that point 53% of paths are above Grey Sky and 34% are above our target, while 37% are still below today's price. By September 2028 the median reaches Rp 2,620 and 31% of paths remain below Rp 2,250.

## Probability of Beating Each Target

Paths spread widely by 2029. Leaving out the top and bottom 5% of paths (Rp 1,567 to Rp 5,009), half end above our Rp 2,770 target and a third above Blue Sky, while 32% end below Grey Sky (**Figure 4.6**). Against today's Rp 2,250, 59% of these paths return 15% or more, the BUY band, 27% fall in the HOLD band and 14% lose 10% or more. Most of the spread comes from the share price's own volatility, since half of the model's fair values sit between Rp 2,320 and Rp 2,910. Our rating rests on fair value, and the paths show that the market may need more than a year to get there. The paths track the share price only. Holders also collect a dividend yield of 6.7–8.0% a year while they wait, which adds up to more than a fifth of today's price over three years.

**Figure 5.1 Margins, FY23A–FY30F**

***Source : Financial Reports, Team Analysis***

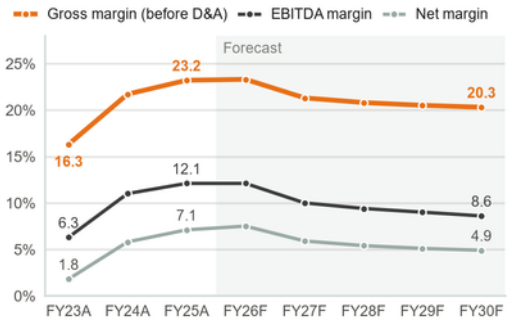



**Figure 5.2 Segment Result by Segment**

***Source : Financial Reports, Team Analysis***

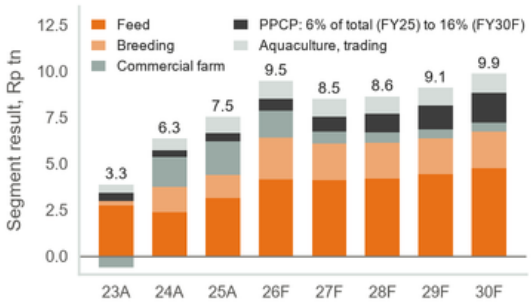
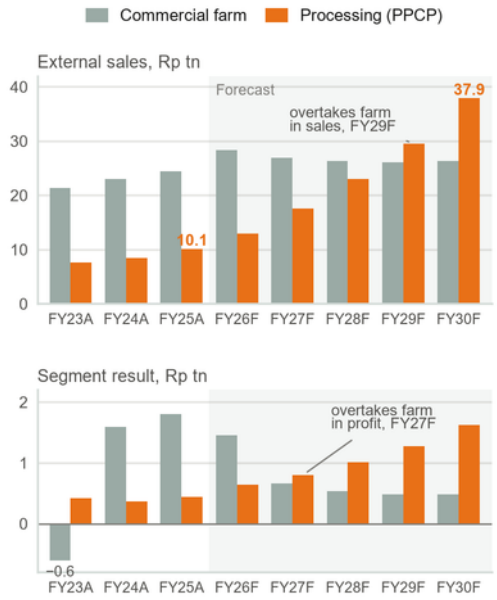



**Figure 5.3 Processing vs Commercial Farm**

***Source : Financial Reports, Team Analysis***




# Financial Analysis

## Raw Materials Set the Margin, Feed Holds It

Cost of goods takes 77–84% of revenue, and raw materials make up 90% of it, so the price of corn and soybean meal sets JPFA's margin. From FY23 to FY25 revenue grew 8.9% a year while cost of goods grew only 4.3% as feed inputs eased, so gross profit grew 29.9% a year and the gross margin before D&A rose from 16.3% to 23.2% (**Figure 5.1**). We do not assume that spread lasts. Segment margins revert halfway to their FY21–25 averages each year, so the gross margin eases to 20.3% by FY30F and the EBITDA margin from 12.1% in FY26F to 8.6%. Most of that decline comes from breeding and commercial farming, which sell at the daily livebird price. Commercial farming's segment result falls from Rp 1.8tn in FY25 to Rp 0.5–0.7tn in FY27F–FY28F as its margin returns toward a thin FY21–25 average, yet the group still earns Rp 4.4–4.5tn for owners at an EBITDA margin of 9.4–10.0%. Those are also the years when the 2026 GPS quota lands as extra chicks (**Figure 3.4**). We assume demand growth, MBG included, absorbs that supply, so our base case keeps livebird prices rising with inflation. If half of the supply gap reached prices, FY28F profit to owners would fall to Rp 2.7tn (R1). Feed carries the group. Its cost-plus margin stays in its band and its segment result rises to Rp 4.8tn, about 48% of the total (**Figure 5.2**). Even if the supply wave and a 25% rise in corn and SBM come in the same years, our model still gives Rp 2.0–2.2tn of profit to owners, level with the old peak. This is Thesis 1 in the numbers.

## Processing Changes the Mix

Poultry processing and consumer products (PPCP) is the fastest-growing part of the group. Its sales rose 29.8% year on year in 1H26, and its capex of Rp 459bn in 1H26 is already above the Rp 380bn spent in all of FY25. Group revenue rises from Rp 60.7tn in FY25 to Rp 108.3tn in FY30F, and processing supplies more than half of that increase, with sales growing from Rp 10.1tn, 16.7% of group sales, to Rp 37.9tn, 35.0%. Its segment result grows from Rp 0.44tn to Rp 1.62tn, passes commercial farming in FY27F and lifts its share of the group's segment result from 6% to 16% (**Figures 5.2 and 5.3**). PPCP earns a steadier 4–5% margin and gains when livebird prices fall, because birds are its main input, so the shift makes group profit less exposed to the daily livebird price.

## Against Its Peers

JPFA grew fastest of the six in 2Q26 and is second by sales after CPIN (**Figure 5.4**). Its margins sit a little below the median, because cost-plus feed and commercial farming still dominate the mix. Its 29% ROE is second only to TFG and comes from turnover, with sales at 3.8x equity against a 3.5x median. Debt is the gap. At 1.5x EBITDA only MAIN carries more, which is why JPFA looks cheaper on P/E than on EV/EBITDA. At the December year-end, with less short-term debt, it was 1.1x (**Figure 5.7**).

**Figure 5.4 JPFA vs Its Five Valuation Peers, TTM to June 2026**

***Source : Company filings (regional peers via Yahoo Finance), prices 11 Sep 2026, Team Analysis. Net debt includes leases.***

| | CPIN | MAIN | GFPT | TFG | Leong Hup | Peer median | JPFA |
|---|---|---|---|---|---|---|---|
| **Sales, US$ m** | 4,376 | 789 | 550 | 2,179 | 2,204 | 2,179 | **3,895** |
| **Sales growth y/y** | +26.8% | +22.9% | −4.8% | −2.3% | +3.5% | +3.5% | **+34.2%** |
| **EBITDA margin** | 14.8% | 6.8% | 20.3% | 18.1% | 13.9% | 14.8% | **13.1%** |
| **Net margin** | 9.7% | 3.4% | 12.5% | 8.8% | 5.9% | 8.8% | **7.6%** |
| **ROE** | 22.8% | 17.3% | 10.6% | 30.9% | 20.4% | 20.4% | **29.4%** |
| **Sales / equity** | 2.4x | 5.2x | 0.9x | 3.5x | 3.5x | 3.5x | **3.8x** |
| **Net debt / EBITDA** | 0.4x | 2.1x | Net cash | 1.2x | 1.1x | 1.1x | **1.5x** |
| **P/E** | 7.0x | 3.2x | 5.8x | 9.2x | 4.9x | 5.8x | **5.0x** |
| **EV/EBITDA** | 4.9x | 3.7x | 2.4x | 5.7x | 4.0x | 4.0x | **4.5x** |

**Figure 5.5 Profit to Owners, FY20A–FY30F**

***Source : Financial Reports, Team Analysis***

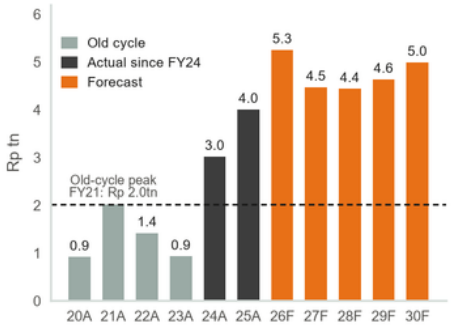



**Figure 5.6 EPS, DPS and P/E**

***Source : Financial Reports, Team Analysis***

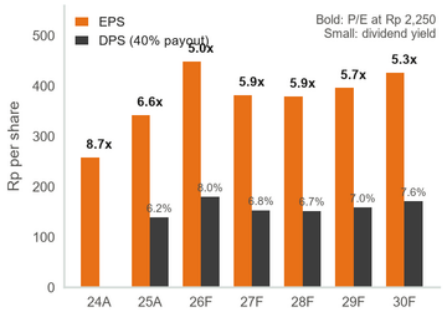
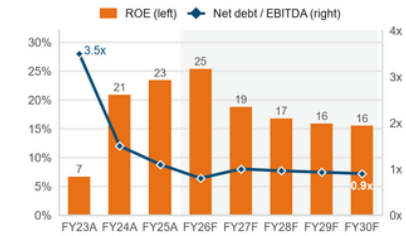



**Figure 5.7 ROE and Net Debt/EBITDA**

***Source : Financial Reports, Team Analysis***




## Profit at a New Level, Priced at the Old One

Profit to owners was Rp 0.9tn to Rp 2.0tn a year in FY20–FY23. It reached Rp 3.0tn in FY24 and Rp 4.0tn in FY25, and we forecast Rp 5.3tn in FY26F and Rp 4.4tn to Rp 5.0tn a year in FY27F–FY30F (**Figure 5.5**). Our lowest forecast year, FY28F, is more than twice the old-cycle peak. Profit eases after FY26F, by 1.3% a year to FY30F, because segment margins revert while revenue keeps growing 9.7% a year (**Figure 5.8**). The share price still reflects the old level. We forecast earnings per share of Rp 449 in FY26F and Rp 379–426 a year in FY27F–FY30F, so at Rp 2,250 the stock trades at 5.0x FY26F earnings and 5.3–5.9x after that (**Figure 5.6**). A 40% payout gives dividends of Rp 152–180 a share, a yield of 6.7–8.0%. That gap between earnings and price is Thesis 3.

## Returns, Cash Flow and Debt

Return on equity rose from 6.7% in FY23 to 23.4% in FY25 and peaks at 25.4% in FY26F, then settles at 15–19% as margins revert (**Figure 5.7)**. Working capital is stable. The cash conversion cycle stays at 75–82 days, set mostly by about 90 days of inventory, which is largely feed raw materials and growing birds. Operating cash flow was 1.2x net profit in FY25, and we expect 1.0–1.1x in FY26F–FY30F. Capex runs at more than twice depreciation while processing capacity is built, yet free cash flow stays positive at Rp 1.4–2.4tn a year. The payout rose to 40% of FY25 profit, paid in 1H26, and from FY27F dividends run a little ahead of free cash flow, so net debt rises from Rp 7.2tn in FY26F to Rp 8.0–8.5tn. The balance sheet can carry that. Net debt/EBITDA fell from 3.5x in FY23 to 1.1x in FY25 and stays at 1.0x or below through FY30F, interest cover rises from 2.2x to about 10x, and liabilities fall from 58% to 39% of total assets (**Figure 5.7**; **Annexes 1 and 2**).

In March 2026 JPFA repaid its US$350m 5.375% notes with Rp 5tn of rupiah bank loans, and in July it issued Rp 500bn of rupiah bonds at 9.25–9.50% (Bisnis Indonesia, 2026; IDNFinancials, 2026). Net foreign-currency liabilities fell from US$331m to US$68m (**Figure 5.9**), so each Rp 100/US$ fall in the rupiah now costs about Rp 7bn in translation loss, against Rp 33bn before. All but US$50m of the debt is in rupiah. Over FY26F–FY30F free cash flow adds up to Rp 9.0tn against Rp 9.5tn of dividends paid, minorities included, so the payout is close to self-funding (**Figure 5.10**).

**Figure 5.9 Net FX Liabilities**

***Source : JPFA Financial Reports, Note 45***

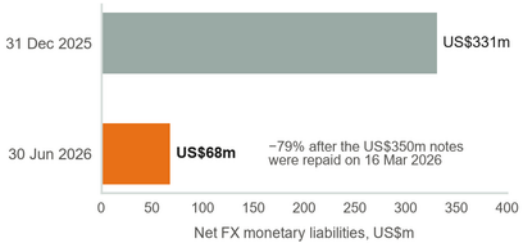



**Figure 5.10 Free Cash Flow, Dividends and Net Debt**

***Source : Financial Reports, Team Analysis***

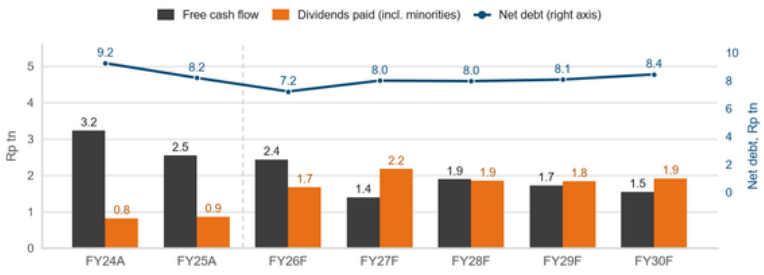



**Figure 5.8 Key Forecasts, FY24A–FY30F**

***Source : Financial Reports, Team Analysis. Profit = profit to owners of the parent. P/E at the 11 Sep 2026 price.***

| | FY24A | FY25A | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|---|
| **Revenue, Rp tn** | 55.8 | 60.7 | 74.9 | 80.7 | 88.1 | 97.0 | 108.3 |
| **Revenue growth** | +9.0% | +8.8% | +23.3% | +7.8% | +9.1% | +10.2% | +11.6% |
| **EBITDA margin** | 11.0% | 12.1% | 12.1% | 10.0% | 9.4% | 9.0% | 8.6% |
| **Profit, Rp tn** | 3.02 | 4.00 | 5.25 | 4.47 | 4.44 | 4.63 | 4.99 |
| **EPS, Rp** | 258 | 342 | 449 | 382 | 379 | 396 | 426 |
| **P/E at Rp 2,250** | 8.7x | 6.6x | 5.0x | 5.9x | 5.9x | 5.7x | 5.3x |
| **ROE** | 20.9% | 23.4% | 25.4% | 18.8% | 16.8% | 15.9% | 15.5% |
| **Net debt / EBITDA** | 1.5x | 1.1x | 0.8x | 1.0x | 1.0x | 0.9x | 0.9x |
| **FCF, Rp tn** | 3.23 | 2.54 | 2.43 | 1.40 | 1.89 | 1.72 | 1.54 |

**Figure 6.1 The Supply Wave**

***Source : Team Analysis (GPS cohort model)***

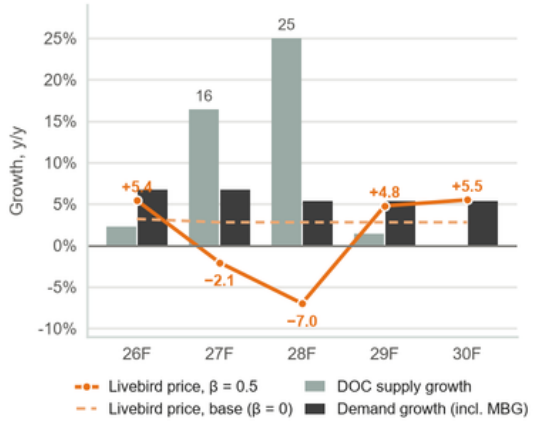



**Figure 6.2 Feed Cost Cases**

***Source : Team Analysis (full model reruns)***

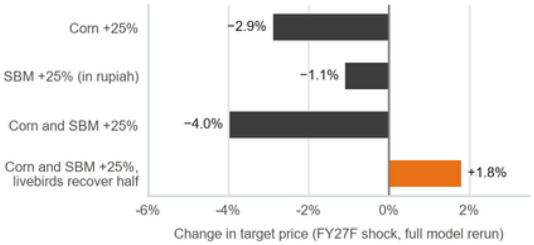



**Figure 6.3 Bond Yield and WACC**

***Source : Investing.com (2026), Team Analysis***

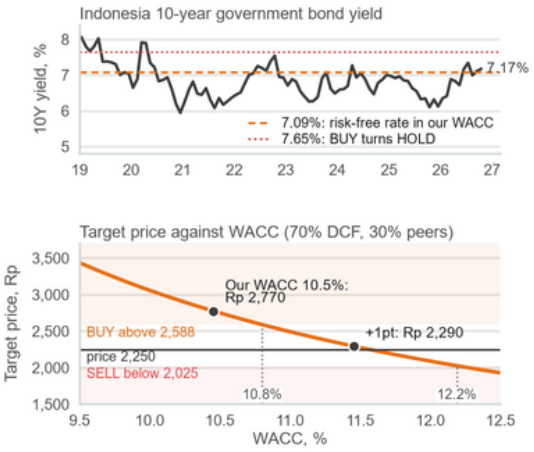
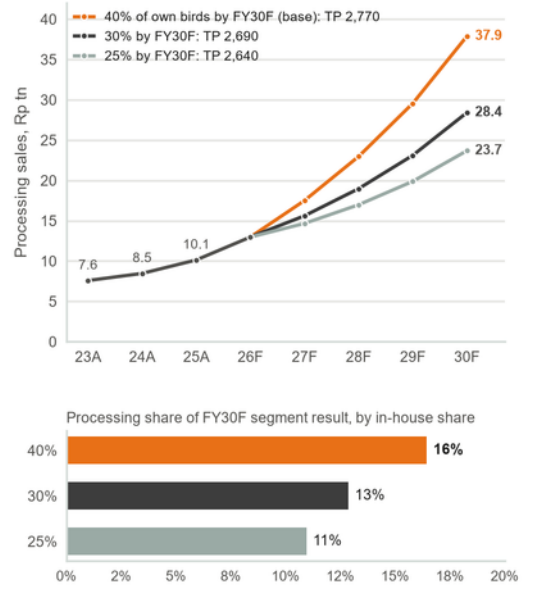



**Figure 6.4 Processing Ramp Cases**

***Source : Team Analysis (full model reruns)***




# Investment Risk

## R1 : Supply wave and livebird volatility, 2027–28 (T1, T3)

The 2026 GPS quota (**Figure 3.3**) turns into DOC supply growth of 16% in 2027 and 25% in 2028 in our cohort model, against demand growth of 5–7% (**Figure 6.1**). If half of that gap reaches prices (β = 0.5), livebird prices fall 2.1% in FY27F and 7.0% in FY28F instead of rising 2.8%. FY28F profit to owners falls from Rp 4.4tn to Rp 2.7tn, yet the target falls only 3%, to Rp 2,680, because the hit lasts about two years. More chicks also mean sharper swings, as the June 2026 collapse in farm-gate prices showed (detikFinance, 2026). Breeding and farming, about 40% of FY25 segment profit, sell at that daily price, so quarterly earnings will swing more than our annual model shows. Mitigation: fast state intervention, which can also cap the upside, and processing gains when birds are cheap (Thesis 2). Signpost: the 2027 GPS quota.

## R2 : Feed costs: corn and soybean meal (T1)

Raw materials are 90% of JPFA's cost of goods. Corn is half of its feed formula and soybean meal (SBM) 23.5% (JPFA, 2026d), and both prices are set largely by policy (**Figure 3.6**). Feed is priced cost-plus, so the damage lands downstream: feed is 70% of breeding and farm costs, and livebird prices do not follow corn. Repeating the 2025–26 move in FY27F (corn and SBM +25%) cuts FY27F profit to owners from Rp 4.5tn to Rp 2.9tn and the target by 4%, to Rp 2,660. Corn matters more than SBM (−2.9% against −1.1%), and a partial livebird price recovery, as in mid-2026, would offset the hit (**Figure 6.2**). Mitigation: monthly price resets and imported feed wheat when corn is short. Signpost: the 2027 corn import quota.

## R3 : Rates and rupiah uncertainty (T1, T3)

Bank Indonesia tightening or a weaker rupiah would raise the discount rate. Our 10.5% WACC uses a 7.09% 10-year bond yield, a beta of 0.80 and a 9.3% pre-tax cost of rupiah debt. A one-point rise in WACC cuts the target 17% to Rp 2,290, a HOLD, and is the largest single risk (**Figure 6.7**). The call turns HOLD at a WACC of about 10.8% and SELL near 12.2% (**Figure 6.3**). The 10-year yield is already at 7.0–7.3%. Each further point takes about 11% off the target, as equity is 62% of our capital, and a yield near 7.7%, last seen in April 2020, would make it a HOLD. A further 10% fall in the rupiah adds about 2.4% to raw-material costs through SBM, which feed prices pass on. Mitigation: net US-dollar liabilities fell to US$68m after the March bond repayment (**Figure 5.9**). Signpost: the 10-year yield above 7.5%, and USD/IDR above 19,000.

## R4 : Processing ramp slips (T2)

Thesis 2 assumes JPFA processes 40% of its own birds by 2030, up from 15–20% today (JPFA, 2026d), so processing sales grow 28–35% a year to Rp 37.9tn in FY30F. That needs slaughter capacity, cold-chain distribution and buyers for branded products, and a delay in any of them slows the ramp. At 30%, processing sales grow 20–23% a year to Rp 28.4tn, and at 25% they reach Rp 23.7tn (**Figure 6.4**). The target falls only 2.9% and 4.7%, to Rp 2,690 and Rp 2,640, because processing earns 4–5% margins and the birds are still sold live. The cost lands on Thesis 2 itself. At 30%, processing makes 13% of FY30F segment profit against 16% in our base case. Mitigation: processing capex was Rp 459bn in 1H26, more than in all of FY25 (JPFA, 2026b). Signpost: processing sales growth under 20% for two halves (**Figure 6.5**).

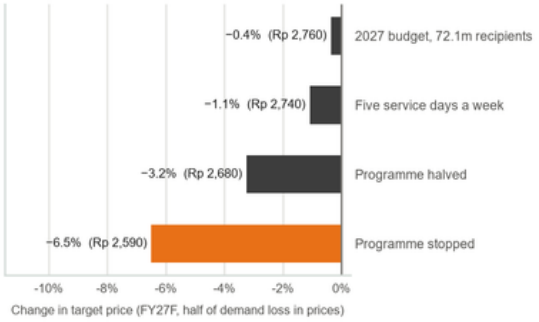
**Figure 6.5 Signposts To Watch**

***Source : Team Analysis, latest readings as cited in the text***

| Risk and signpost | Warning sign | Latest reading |
|---|---|---|
| R1 2027 GPS quota | Above 800k birds | 800k in 2026 |
| R2 2027 corn import quota | 300kt or less | 300kt in 2025/26 |
| R3 10Y yield / USD-IDR | Above 7.5% / 19,000 | 7.0–7.3% / 17,611 |
| R4 Processing sales growth | Below 20%, two halves | +29.8% in 1H26 |
| R5 MBG recipients (BGN) | Cut below 2027 budget | 72.1m budgeted |

**Figure 6.6 MBG Cases**

***Source : Team Analysis (full model reruns)***




## R5 : MBG budget cut (T3)

The 2027 budget gives MBG Rp 240.2tn for 72.1m recipients, against Rp 268tn and 82.9m for 2026 (CNN Indonesia, 2026b). Our base case already uses 71m recipients, so the 2027 budget only removes the extra 1.3% of broiler demand we assumed for FY27F and takes 0.4% off the target. MBG chicken is about 14% of national demand, and a cut reaches JPFA through lower feed volumes and lower livebird prices. With half of the demand shortfall passed into prices, serving five days a week instead of six takes 1.1% off the target, a halved programme 3.2% (Rp 2,680) and a full stop 6.5% (Rp 2,590), still at the edge of BUY (**Figure 6.6**). Mitigation: MBG growth is outside our terminal growth rate. Signpost: BGN recipient numbers.

**Figure 6.7 Risk Matrix**

***Source : Team Analysis (full model reruns)***

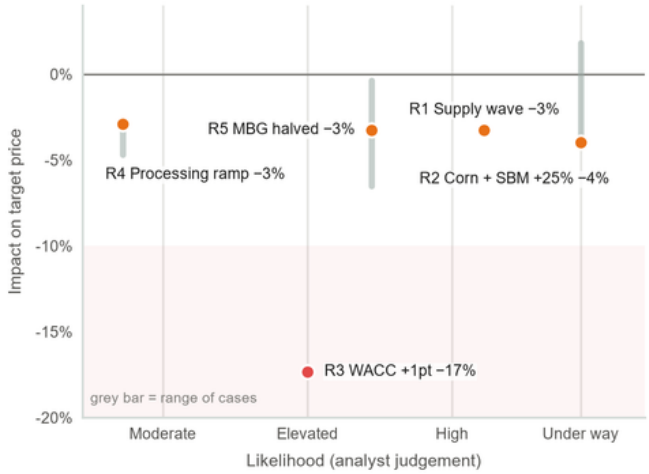



**Figure 6.8 Target Price by Risk Case**

***Source : Team Analysis (full model reruns)***

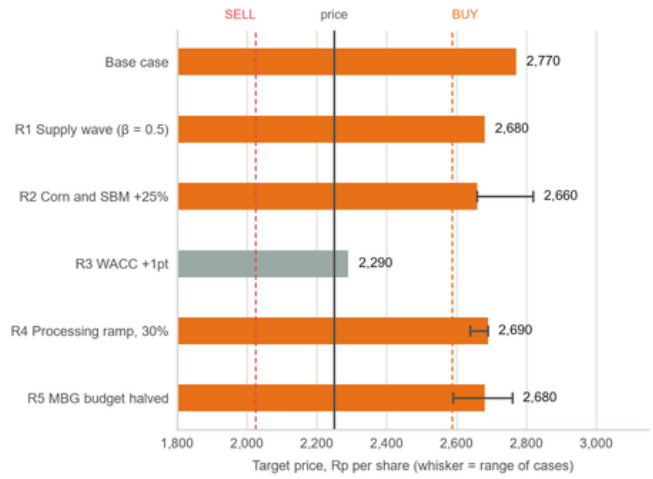
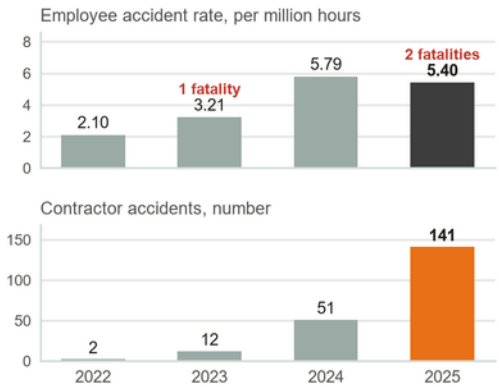



**Figure 7.1 Emissions and Carbon Cost**

***Source : JPFA SR 2025, Team Analysis***

**Figure 7.2 Workplace Safety, 2022–2025**

***Source : JPFA Sustainability Reports***




# ESG Analysis

## Environment: Most Emissions Sit Outside the Gate

Scope 3 makes up 91% of the 8.1m tCO2e JPFA reports, Scope 2 8% and Scope 1 1% (**Figure 7.1**). Coal use ended in 2025, but electrification moved emissions from Scope 1 to Scope 2 without removing them, and Scope 2 rose 7.8%. There is no Scope 2 or Scope 3 target. Scope 3 also carries the currency risk in R3, because 35% of poultry-feed and 57% of aquafeed raw materials are imported. Carbon cost is not a near-term valuation issue. At the legal floor tax of Rp 30/kg, Scope 1 and 2 emissions would cost Rp 22bn, 0.3% of FY26F EBIT. At US$50/t the cost rises to Rp 0.64tn, or 8% (**Figure 7.1**).

## Social: Safety Is the Weak Point

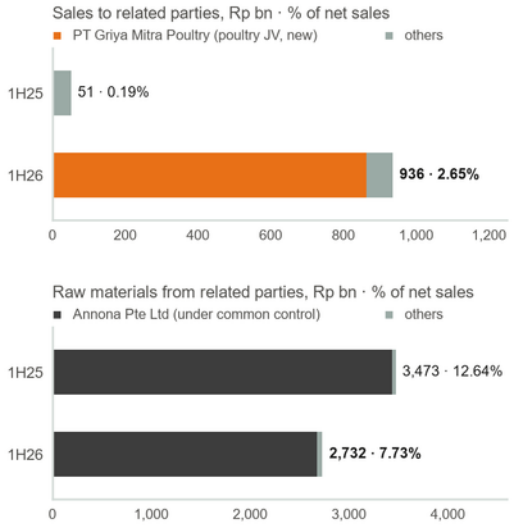
Safety is the main social risk (**Figure 7.2**). Two employees died in 2025, contractor accidents rose from 51 to 141, and the employee accident rate stood at 5.40 per million hours, 2.6x its 2022 level. Closed-house conversion lifts partner-farm productivity, but many open-house farmers left the scheme in 2025 (JPFA, 2026a), and they are the smallholders the price floor and the MBG absorption scheme are meant to protect.

## Governance: The Segment Accounts Rest on Transfer Prices

A 56.3% controlling shareholder and large intra-group sales, with more than half of feed and DOC sold inside the group, make the segment accounts only as reliable as the transfer-pricing policy. Two of five commissioners are independent, above the 30% OJK minimum. Related-party sales jumped to 2.65% of net sales in 1H26 from 0.19% a year earlier, and raw-material purchases from Annona, a sister company, equalled 7.7% (**Figure 7.3**).

**Figure 7.3 Related-Party Trade**

***Source : JPFA Financial Reports, Note 39***




## Benchmark: Average for the Sector, Ahead of CPIN

We benchmark JPFA against the median of the five valuation peers on four raters (**Figure 7.4**). The result depends on the method. Morningstar Sustainalytics scores unmanaged risk, and JPFA's 42.6 is in the severe band and slightly worse than the peer median of 41.0. LSEG scores reported ESG performance, and JPFA's 2.0 out of 5 is above the peer median of 1.8 and ranks 267th of 435 food and tobacco companies. MSCI (B against CCC) and S&P Global (39 against 21) both rate JPFA above CPIN, the only peer with a public rating from either.

Sustainalytics leans on sector exposure, and all six companies sit in its high or severe bands. We therefore read JPFA as average for a meat producer, with better disclosure than its closest local rival. We do not add an ESG premium to the WACC. Two issues could change that view: workplace safety, after two employee deaths in 2025, and related-party trade, which we will check in each half-year report. Our pillar scorecard and ESG data are in **Annexes 14 and 15**.

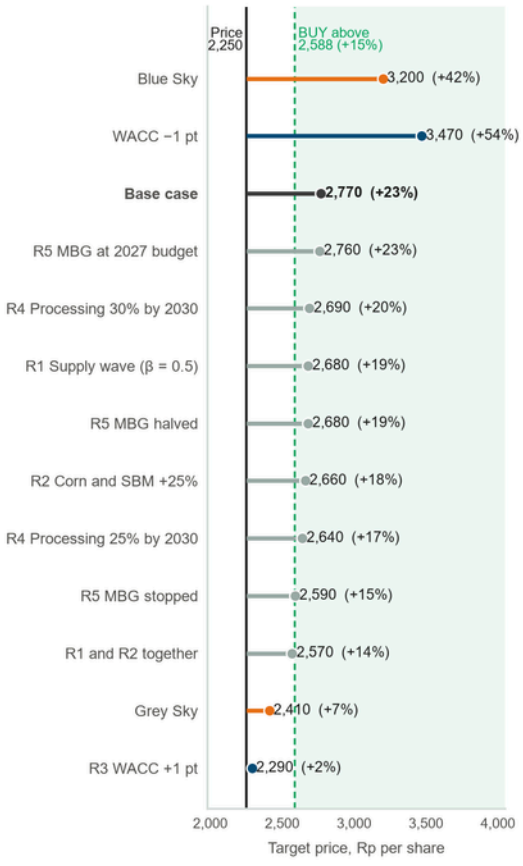
**Figure 7.4 ESG Ratings: JPFA vs Its Five Valuation Peers**

***Source : Sustainalytics via IDX and PitchBook, LSEG, MSCI via MarketScreener, S&P Global, Oct 2026. n.a. = no public rating***

| Company | Sustainalytics risk score (lower is better) | LSEG score, 0–5 (rank of 435 in industry) | MSCI rating (AAA best, CCC worst) | S&P Global score (0–100, higher is better) |
|---|---|---|---|---|
| **CPIN (Indonesia)** | 38.8 High | 1.5 (337th) | CCC | 21 |
| **MAIN (Indonesia)** | 48.4 Severe | n.a. | n.a. | n.a. |
| **GFPT (Thailand)** | 35.2 High | 2.1 (245th) | n.a. | n.a. |
| **TFG (Thailand)** | 41.0 Severe | n.a. | n.a. | n.a. |
| **Leong Hup (Malaysia)** | 48.5 Severe | 1.8 (309th) | n.a. | n.a. |
| **Peer median** | 41.0 Severe | 1.8 | – | – |
| **JPFA** | **42.6 Severe** | **2.0 (267th)** | **B** | **39** |

**Figure 8.1 Target Price by Case**

***Source : Team Analysis (full model reruns)***




# Conclusion

We initiate coverage of JPFA with a BUY and a target price of Rp 2,770, 23.1% above the 11 September 2026 close of Rp 2,250. At 5.0x FY26F earnings and a dividend yield of 6.7–8.0%, the shares are priced as if profit were going back to the Rp 0.9–2.0tn of FY20–FY23. JPFA earned Rp 4.0tn in FY25 and Rp 2.5tn in 1H26 alone, and we forecast Rp 4.4–5.3tn a year to FY30F. The 11.6% WACC implied by the share price, against our 10.46%, shows how much doubt the market still holds.

Our three theses explain why we think that doubt is too large. Feed is priced cost-plus and earns about 48% of the group's segment result, so JPFA stays profitable even if the supply wave and a 25% rise in corn and soybean meal arrive together (**Thesis 1**). Processing lifts its share of segment result from 6% to 16% by FY30F and earns a steadier margin than farming (**Thesis 2**). With net debt at or below 1.0x EBITDA, earnings at the new level are worth more than the old-cycle multiple the market pays for them (**Thesis 3**). On ESG, JPFA rates close to its peers, and safety is the area that most needs to improve.

The call holds in most of what can go wrong. No single operating risk takes the target below the BUY threshold of Rp 2,588, and Grey Sky, with the main risks landing together, still gives Rp 2,410, above today's price (**Figure 8.1**). The discount rate is the exception. One point more on the WACC gives Rp 2,290 and a HOLD (Figure 6.8). The rerating may take time, as the median price path reaches our target only in August 2029, but the dividend pays holders while they wait. The first checkpoints are the FY26 results, for which we forecast Rp 5.3tn of profit to owners, and the 2027 GPS and corn import quotas. **Figure 6.5** lists the signposts that would make us change the call.

# Annex

## Annex 1 Income Statement, FY23A–FY30F

*Source : JPFA audited statements FY23A–FY25A (JPFA, 2021–2026), D&A shown separately; FY26F–FY30F Team Analysis*

| Rp bn | FY23A | FY24A | FY25A | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|---|---|
| **Revenue** | **51,176** | **55,801** | **60,716** | **74,852** | **80,708** | **88,050** | **96,993** | **108,288** |
| growth | 4.5% | 9.0% | 8.8% | 23.3% | 7.8% | 9.1% | 10.2% | 11.6% |
| Cost of goods sold (excl. D&A) | −42,819 | −43,691 | −46,612 | −57,444 | −63,508 | −69,729 | −77,101 | −86,274 |
| **Gross profit (excl. D&A)** | **8,357** | **12,110** | **14,104** | **17,409** | **17,201** | **18,321** | **19,892** | **22,015** |
| gross margin | 16.3% | 21.7% | 23.2% | 23.3% | 21.3% | 20.8% | 20.5% | 20.3% |
| SG&A (excl. D&A) | −5,085 | −5,836 | −6,855 | −8,294 | −9,046 | −9,989 | −11,137 | −12,588 |
| Other income / (expense) | −59 | −152 | 113 | −50 | −54 | −59 | −65 | −73 |
| **EBITDA** | **3,214** | **6,122** | **7,362** | **9,064** | **8,100** | **8,273** | **8,690** | **9,354** |
| EBITDA margin | 6.3% | 11.0% | 12.1% | 12.1% | 10.0% | 9.4% | 9.0% | 8.6% |
| Depreciation | −1,008 | −1,061 | −1,140 | −1,214 | −1,358 | −1,550 | −1,696 | −1,855 |
| **EBIT** | **2,205** | **5,061** | **6,222** | **7,851** | **6,742** | **6,723** | **6,994** | **7,499** |
| EBIT margin | 4.3% | 9.1% | 10.2% | 10.5% | 8.4% | 7.6% | 7.2% | 6.9% |
| Interest expense | −988 | −870 | −805 | −734 | −673 | −698 | −701 | −718 |
| Interest income | 44 | 50 | 67 | 83 | 60 | 60 | 60 | 60 |
| Profit before tax | 1,261 | 4,241 | 5,484 | 7,200 | 6,130 | 6,085 | 6,353 | 6,841 |
| Tax | −315 | −1,029 | −1,202 | −1,584 | −1,349 | −1,339 | −1,398 | −1,505 |
| Net profit | 946 | 3,212 | 4,281 | 5,616 | 4,781 | 4,746 | 4,955 | 5,336 |
| Non-controlling interests | −16 | −193 | −277 | −365 | −311 | −308 | −322 | −347 |
| **Profit to owners** | **930** | **3,019** | **4,004** | **5,251** | **4,470** | **4,438** | **4,633** | **4,989** |
| EPS (Rp) | 79 | 258 | 342 | 449 | 382 | 379 | 396 | 426 |

## Annex 2 Balance Sheet, FY23A–FY30F

*Source : As Annex 1. Minimum cash Rp 2tn; short-term loans are the plug, capped at Rp 11.5tn. Balances in every year*

| Rp bn | FY23A | FY24A | FY25A | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|---|---|
| Cash | 1,503 | 1,354 | 3,550 | 2,000 | 2,000 | 2,000 | 2,000 | 2,000 |
| Accounts receivable | 2,456 | 2,677 | 3,126 | 3,658 | 3,886 | 4,176 | 4,531 | 4,979 |
| Inventories (incl. biological inventories) | 11,321 | 11,120 | 11,726 | 14,666 | 15,978 | 17,281 | 18,819 | 20,726 |
| Biological assets (breeding flock) | 1,581 | 1,663 | 1,699 | 1,756 | 1,823 | 1,875 | 1,928 | 1,982 |
| Other current assets | 383 | 377 | 1,301 | 579 | 579 | 579 | 579 | 579 |
| **Total current assets** | **17,244** | **17,191** | **21,402** | **22,659** | **24,266** | **25,912** | **27,857** | **30,266** |
| Property, plant and equipment | 13,395 | 13,754 | 14,995 | 16,782 | 19,154 | 20,956 | 22,921 | 25,117 |
| Other non-current assets | 3,471 | 3,721 | 3,663 | 3,663 | 3,663 | 3,663 | 3,663 | 3,663 |
| **Total assets** | **34,109** | **34,666** | **40,060** | **43,103** | **47,084** | **50,531** | **54,441** | **59,046** |
| Accounts payable | 4,118 | 3,658 | 3,707 | 4,938 | 5,380 | 5,819 | 6,337 | 6,979 |
| Short-term bank loans | 4,078 | 2,076 | 2,921 | 2,810 | 3,588 | 3,548 | 3,664 | 4,036 |
| Other current liabilities | 1,655 | 2,421 | 3,102 | 3,102 | 3,102 | 3,102 | 3,102 | 3,102 |
| **Total current liabilities** | **9,851** | **8,155** | **9,730** | **10,850** | **12,069** | **12,469** | **13,102** | **14,117** |
| Deferred tax liabilities | 23 | 29 | 46 | 226 | 380 | 532 | 691 | 862 |
| Long-term debt (incl. bonds, current part) | 8,751 | 8,525 | 8,824 | 6,409 | 6,409 | 6,409 | 6,409 | 6,409 |
| Other non-current liabilities | 1,317 | 1,385 | 1,442 | 1,442 | 1,442 | 1,442 | 1,442 | 1,442 |
| **Total liabilities** | **19,942** | **18,094** | **20,041** | **18,927** | **20,300** | **20,851** | **21,643** | **22,829** |
| Share capital, reserves and NCI | 3,631 | 3,814 | 4,223 | 4,750 | 4,988 | 5,234 | 5,494 | 5,777 |
| Retained earnings | 10,537 | 12,758 | 15,796 | 19,427 | 21,796 | 24,446 | 27,304 | 30,440 |
| **Total equity** | **14,167** | **16,573** | **20,019** | **24,176** | **26,784** | **29,680** | **32,798** | **36,217** |
| **Total liabilities and equity** | **34,109** | **34,666** | **40,060** | **43,103** | **47,084** | **50,531** | **54,441** | **59,046** |

## Annex 3 Cash Flow Statement, FY23A–FY30F

*Source : As Annex 1. FY26F repays the US$350m notes (Rp 5.83tn) with Rp 5tn of new rupiah term loans (JPFA, 2026b)*

| Rp bn | FY23A | FY24A | FY25A | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|---|---|
| Net profit | 946 | 3,212 | 4,281 | 5,616 | 4,781 | 4,746 | 4,955 | 5,336 |
| Depreciation | 1,008 | 1,061 | 1,140 | 1,214 | 1,358 | 1,550 | 1,696 | 1,855 |
| Deferred taxes | −91 | 313 | 125 | 180 | 153 | 152 | 159 | 171 |
| Change in receivables | −51 | −221 | −449 | −531 | −229 | −290 | −355 | −448 |
| Change in inventories | −345 | 201 | −606 | −2,940 | −1,312 | −1,303 | −1,538 | −1,907 |
| Change in payables | 674 | −459 | 49 | 1,231 | 442 | 439 | 518 | 642 |
| Change in biological assets | −67 | −82 | −36 | −58 | −67 | −52 | −53 | −54 |
| Other operating items | 297 | 835 | 508 | 722 | 0 | 0 | 0 | 0 |
| **Cash from operations** | **2,372** | **4,860** | **5,012** | **5,434** | **5,127** | **5,242** | **5,382** | **5,596** |
| Capital expenditure | −2,018 | −1,630 | −2,467 | −3,000 | −3,731 | −3,352 | −3,661 | −4,051 |
| Other investing | −87 | −43 | −359 | 0 | 0 | 0 | 0 | 0 |
| **Cash from investing** | **−2,104** | **−1,673** | **−2,826** | **−3,000** | **−3,731** | **−3,352** | **−3,661** | **−4,051** |
| Change in long-term debt | −187 | −524 | 43 | −2,415 | 0 | 0 | 0 | 0 |
| Change in short-term loans | 209 | −2,002 | 845 | −111 | 778 | −39 | 115 | 373 |
| Treasury shares, net | 29 | 0 | 0 | 218 | 0 | 0 | 0 | 0 |
| Dividends (owners and NCI) | −581 | −819 | −862 | −1,677 | −2,173 | −1,850 | −1,837 | −1,918 |
| Lease payments | −25 | −44 | −62 | 0 | 0 | 0 | 0 | 0 |
| **Cash from financing** | **−556** | **−3,389** | **−35** | **−3,984** | **−1,396** | **−1,890** | **−1,721** | **−1,545** |
| Net change in cash | −288 | −202 | 2,151 | −1,550 | 0 | 0 | 0 | 0 |
| Exchange-rate effect | −20 | 53 | 46 | 0 | 0 | 0 | 0 | 0 |
| **Cash at end of year** | **1,503** | **1,354** | **3,550** | **2,000** | **2,000** | **2,000** | **2,000** | **2,000** |

## Annex 4 Segment History, FY20–1H26 (Sales Before Eliminations)

*Source : JPFA consolidated statements FY20–FY25, segment note (JPFA, 2021–2026); 1H26 Note 42 (JPFA, 2026b)*

| Rp bn | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 1H26 |
|---|---|---|---|---|---|---|---|
| **Feed: sales** | **21,148** | **28,366** | **31,693** | **33,292** | **33,492** | **35,826** | **21,650** |
| result | 2,867 | 1,900 | 2,614 | 2,740 | 2,376 | 3,129 | 2,082 |
| margin | 13.6% | 6.7% | 8.2% | 8.2% | 7.1% | 8.7% | 9.6% |
| **Breeding: sales** | **5,313** | **6,895** | **6,819** | **6,499** | **8,006** | **8,366** | **5,056** |
| result | 264 | 1,722 | 1,112 | 237 | 1,378 | 1,267 | 1,293 |
| margin | 5.0% | 25.0% | 16.3% | 3.6% | 17.2% | 15.1% | 25.6% |
| **Commercial farm: sales** | **15,625** | **20,361** | **22,424** | **24,881** | **26,913** | **28,973** | **16,240** |
| result | −93 | −342 | −744 | −611 | 1,589 | 1,796 | 366 |
| margin | −0.6% | −1.7% | −3.3% | −2.5% | 5.9% | 6.2% | 2.3% |
| **Processing: sales** | **5,037** | **6,505** | **7,619** | **7,902** | **8,719** | **10,334** | **6,264** |
| result | 195 | 242 | 239 | 417 | 372 | 442 | 340 |
| margin | 3.9% | 3.7% | 3.1% | 5.3% | 4.3% | 4.3% | 5.4% |
| **Aquaculture: sales** | **3,471** | **3,954** | **4,754** | **4,585** | **4,771** | **5,113** | **2,822** |
| result | 327 | 202 | 299 | 219 | 358 | 522 | 244 |
| margin | 9.4% | 5.1% | 6.3% | 4.8% | 7.5% | 10.2% | 8.6% |
| **Trading & others: sales** | **3,620** | **3,443** | **3,823** | **3,553** | **3,742** | **4,261** | **2,568** |
| result | 144 | 318 | 306 | 257 | 277 | 371 | 193 |
| margin | 4.0% | 9.2% | 8.0% | 7.2% | 7.4% | 8.7% | 7.5% |

## Annex 5 Forecast Drivers, Segment Revenue and Segment Margins

*Source : Team Analysis (model Drivers sheet); GPS quota (Tempo, 2026; USDA FAS, 2026a); feed output (USDA FAS, 2026a); CPI (Badan Pusat Statistik, 2026b); in-house share (JPFA, 2026d). Margins revert halfway to their FY21–25 average each year*

| Driver | | | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|---|
| National GPS quota ('000 birds) | | | 800 | 800 | 800 | 800 | 800 |
| National final-stock DOC supply index ('000) | | | 542 | 631 | 789 | 800 | 800 |
| DOC supply gap vs demand | | | −4.4% | 9.7% | 19.6% | −4.0% | −5.4% |
| Poultry price change (β = 0, base case) | | | 3.2% | 2.8% | 2.8% | 2.8% | 2.8% |
| JPFA share of national DOC supply | | | 30.1% | 25.9% | 20.9% | 20.6% | 20.6% |
| Broiler demand growth (incl. MBG) | | | 6.7% | 6.7% | 5.4% | 5.4% | 5.4% |
| National feed production growth | | | 6.0% | 5.0% | 5.0% | 5.0% | 5.0% |
| Feed raw-material cost change | | | – | 4.9% | 2.7% | 2.7% | 2.7% |
| USD/IDR depreciation | | | 6.4% | 2.0% | 2.0% | 2.0% | 2.0% |
| Domestic corn price change | | | – | 5.0% | 3.0% | 3.0% | 3.0% |
| Own birds processed in-house | | | 17.5% | 23.1% | 28.7% | 34.4% | 40.0% |
| Gross margin (excl. D&A) | | | 23.3% | 21.3% | 20.8% | 20.5% | 20.3% |
| SG&A % of revenue (regression) | | | 11.1% | 11.2% | 11.3% | 11.5% | 11.6% |
| Capex % of revenue | | | 4.0% | 4.6% | 3.8% | 3.8% | 3.7% |
| Inventory days | | | 93 | 92 | 90 | 89 | 88 |
| Dividend payout (on prior-year profit) | | | 40.5% | 40.0% | 40.0% | 40.0% | 40.0% |
| **Segment revenue, Rp bn** | | **FY25A** | **FY26F** | **FY27F** | **FY28F** | **FY29F** | **FY30F** |
| Animal feed | | 15,297 | 20,481 | 22,562 | 24,332 | 26,242 | 28,301 |
| Poultry breeding | | 3,439 | 4,498 | 4,638 | 4,808 | 4,946 | 5,085 |
| Commercial farm | | 24,458 | 28,317 | 26,937 | 26,354 | 26,118 | 26,304 |
| Processing & consumer products | | 10,136 | 12,978 | 17,507 | 22,975 | 29,558 | 37,888 |
| Aquaculture | | 5,097 | 5,949 | 6,354 | 6,786 | 7,247 | 7,740 |
| Trading & others | | 2,289 | 2,630 | 2,711 | 2,796 | 2,882 | 2,972 |
| **Total net sales** | | **60,716** | **74,852** | **80,708** | **88,050** | **96,993** | **108,288** |
| **Segment margin (result ÷ segment sales)** | **FY21–25 avg** | **FY25A** | **FY26F** | **FY27F** | **FY28F** | **FY29F** | **FY30F** |
| Feed | 7.8% | 8.7% | 9.2% | 8.5% | 8.1% | 8.0% | 7.9% |
| Breeding | 15.5% | 15.1% | 20.4% | 17.3% | 16.4% | 16.0% | 15.7% |
| Commercial farm | 0.9% | 6.2% | 4.2% | 1.9% | 1.4% | 1.2% | 1.1% |
| Processing & consumer products | 4.1% | 4.3% | 4.8% | 4.5% | 4.3% | 4.2% | 4.2% |
| Aquaculture | 6.8% | 10.2% | 9.4% | 8.1% | 7.4% | 7.1% | 6.9% |
| Trading & others | 8.1% | 8.7% | 8.1% | 8.1% | 8.1% | 8.1% | 8.1% |

## Annex 6 Unlevered Free Cash Flow and Discounting

*Source : Team Analysis. Valuation date 30 Jun 2026, cash flows mid-year from 30 Sep 2026; WACC 10.46%, g 5.0%; Term capex = depreciation. Manual sum Rp 49,376bn*

| Rp bn | FY26F | FY27F | FY28F | FY29F | FY30F | Term |
|---|---|---|---|---|---|---|
| EBITDA | 9,064 | 8,100 | 8,273 | 8,690 | 9,354 | 10,101 |
| Less: tax on EBIT (22%) | −1,727 | −1,483 | −1,479 | −1,539 | −1,650 | −1,286 |
| Less: capital expenditure | −3,000 | −3,731 | −3,352 | −3,661 | −4,051 | −4,254 |
| Less: increase in working capital | −2,297 | −1,166 | −1,207 | −1,428 | −1,766 | −1,035 |
| **Unlevered free cash flow** | **2,040** | **1,720** | **2,235** | **2,063** | **1,887** | **3,525** |
| **Discounting, Rp bn** | | | **Cash flow** | **Years** | **Factor** | **PV** |
| 2H FY26F (half year) | | | 1,020 | 0.25 | 0.9754 | 995 |
| FY27F | | | 1,720 | 1.25 | 0.8831 | 1,519 |
| FY28F | | | 2,235 | 2.25 | 0.7995 | 1,787 |
| FY29F | | | 2,063 | 3.25 | 0.7238 | 1,493 |
| FY30F | | | 1,887 | 4.25 | 0.6553 | 1,237 |
| Terminal value at FY30, Gordon | | | 64,618 | 4.25 | 0.6553 | 42,345 |
| **Enterprise value (XNPV)** | | | | | | **49,353** |

## Annex 7 DCF Sensitivity: WACC and Terminal Growth (Rp/share)

*Source : Team Analysis. Base case shaded; the share price of Rp 2,250 implies a WACC of 11.6% at g 5.0%*

| WACC \ terminal growth | 4.0% | 4.5% | 5.0% | 5.5% | 6.0% |
|---|---|---|---|---|---|
| 8.46% | 4,207 | 4,812 | 5,592 | 6,636 | 8,104 |
| 9.46% | 3,167 | 3,546 | 4,010 | 4,592 | 5,342 |
| **10.46%** | **2,451** | **2,707** | **3,011** | **3,376** | **3,823** |
| 11.46% | 1,929 | 2,112 | 2,324 | 2,571 | 2,863 |
| 12.46% | 1,532 | 1,668 | 1,822 | 1,998 | 2,202 |

## Annex 8 Exit-Multiple Cross-Check: WACC and Terminal EV/EBITDA (Rp/share)

*Source : Team Analysis. Base multiple 3.96x = five-peer median trailing EV/EBITDA, on Term-year EBITDA of Rp 10.1tn*

| WACC \ exit EV/EBITDA | 2.96x | 3.46x | 3.96x | 4.46x | 4.96x |
|---|---|---|---|---|---|
| 8.46% | 1,252 | 1,528 | 1,804 | 2,080 | 2,356 |
| 9.46% | 1,149 | 1,411 | 1,673 | 1,936 | 2,198 |
| **10.46%** | **1,051** | **1,301** | **1,550** | **1,800** | **2,049** |
| 11.46% | 959 | 1,196 | 1,434 | 1,671 | 1,909 |
| 12.46% | 872 | 1,098 | 1,324 | 1,550 | 1,776 |

## Annex 9 Beta Estimates and Peer Multiples

*Source : Yahoo Finance weekly closes vs JCI to 11 Sep 2026, Blume-adjusted; peer betas CPIN 0.71, MAIN 1.05; company filings, TTM to 30 Jun 2026 (regional peers via Yahoo Finance); prices 11 Sep 2026. EV includes leases and NCI, less associates. Memo rows are not in the median*

| Estimate (DCF and target in Rp/share) | | | Beta | $R^2$ | WACC | DCF | Target |
|---|---|---|---|---|---|---|---|
| JPFA, 2Y weekly vs JCI, adjusted | | | 0.72 | 0.11 | 10.15% | 3,275 | 2,960 |
| JPFA, 3Y weekly vs JCI, adjusted | | | 0.79 | 0.12 | 10.40% | 3,056 | 2,810 |
| **Peers (CPIN, MAIN) relevered: base** | | | **0.80** | **–** | **10.46%** | **3,011** | **2,770** |
| Stress case: beta 1.20 | | | 1.20 | – | 12.13% | 1,970 | 2,040 |
| **Peer multiples, local currency m** | **Price** | **Market cap** | **EV** | **TTM EBITDA** | **TTM profit** | **P/E** | **EV/EBITDA** |
| CPIN | 3,160 | 51,818 | 55,934 | 11,384 | 7,452 | 7.0x | 4.9x |
| MAIN | 670 | 1,494 | 3,437 | 940 | 466 | 3.2x | 3.7x |
| GFPT (THB m) | 10.60 | 13,291 | 8,711 | 3,702 | 2,277 | 5.8x | 2.4x |
| TFG (THB m) | 9.85 | 58,477 | 73,835 | 13,064 | 6,374 | 9.2x | 5.7x |
| Leong Hup (MYR m) | 0.765 | 2,562 | 4,933 | 1,246 | 526 | 4.9x | 4.0x |
| **Median of five (applied)** | | | | | | **5.8x** | **4.0x** |
| **JPFA** | **2,250** | **26,336** | **40,445** | **8,956** | **5,243** | **5.0x** | **4.5x** |
| Memo: CP Foods (THB m) | 23.80 | 177,097 | 453,753 | 59,754 | 14,140 | 12.5x | 7.6x |
| Memo: SIPD | 915 | 1,683 | 2,474 | 81 | −10 | n.m. | 30.5x |

## Annex 10 GPS Cohort Model and JPFA's Share of Final-Stock DOC Output

*Source : Team Analysis (cohort model); GPS quotas (USDA FAS, 2026a; aviNews Indonesia, 2026; Tempo, 2026)*

Each year's GPS allocation is placed in eight equal batches, one every 1.5 months. A batch reaches point of lay after 24 weeks of rearing plus 21 days of incubation (6.2 months) and lays for 40 weeks (9.2 months), and its parent-stock chicks repeat the cycle. Parent-stock output is spread evenly over the laying window, so final-stock output, the sum of two such windows, has a triangular profile. Summing the eight batches gives the lag weights below, which turn the GPS quota series into a national final-stock DOC supply index. JPFA's index uses its own allocation (163,000 birds to 2025, 165,000 from 2026), so its share of national output falls as the 800,000-bird quota of 2026 works through. Prices move by β times the gap between supply and demand growth: β = 0 in the base case and 0.5 in the supply-wave case (R1).

| Lag weights (share of a year-t placement) | t | t+1 | t+2 | t+3 |
|---|---|---|---|---|
| Final-stock DOC | 0.0% | 25.0% | 69.9% | 5.1% |
| Parent-stock DOC | 15.2% | 79.6% | 5.2% | – |

| Final-stock DOC supply | FY25A | FY26F | FY27F | FY28F | FY29F | FY30F |
|---|---|---|---|---|---|---|
| National GPS quota, placement year ('000) | 578 | 800 | 800 | 800 | 800 | 800 |
| JPFA GPS allocation ('000) | 163 | 165 | 165 | 165 | 165 | 165 |
| National supply index ('000 GPS-eq.) | 530 | 542 | 631 | 789 | 800 | 800 |
| growth | – | 2.3% | 16.4% | 25.0% | 1.4% | 0.0% |
| JPFA capacity index ('000 GPS-eq.) | 163.0 | 163.0 | 163.5 | 164.9 | 165.0 | 165.0 |
| **JPFA share of national output** | **30.8%** | **30.1%** | **25.9%** | **20.9%** | **20.6%** | **20.6%** |

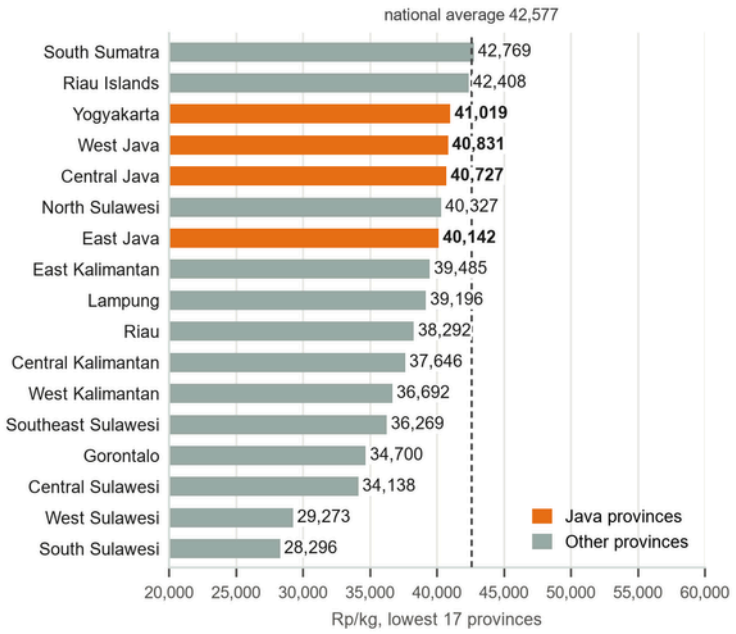
## Annex 11 First- and Second-Quarter Results, 2020–2026 (Rp bn)

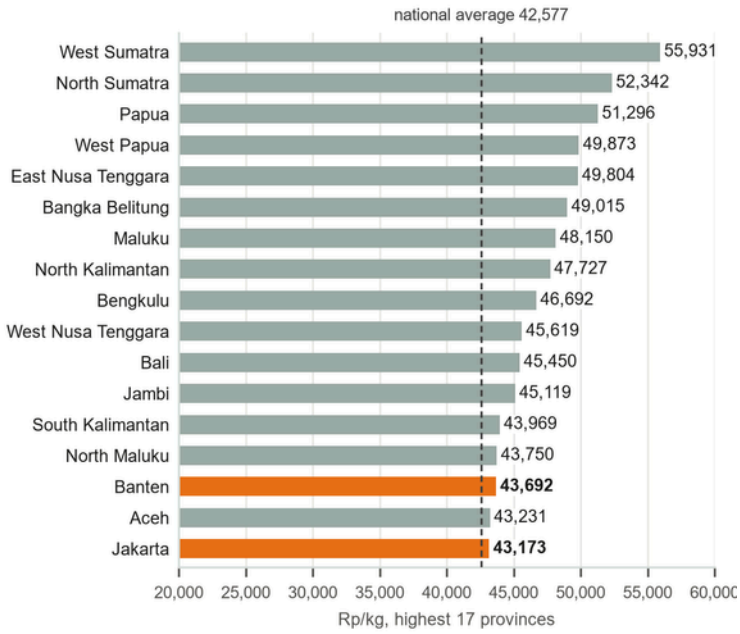
*Source : JPFA 1Q and 1H interim statements (JPFA, 2020–2025, 2026b); Q2 = 1H − 1Q. Profit attributable to owners*

| Year (Lebaran date) | Q1 profit | Q2 profit | Q1 sales | Q2 sales | Q1 net margin | Q2 net margin |
|---|---|---|---|---|---|---|
| 2020 (24 May) | 344 | −189 | 9,080 | 8,995 | 3.8% | −2.1% |
| 2021 (13 May) | 859 | 684 | 10,769 | 11,339 | 8.0% | 6.0% |
| 2022 (2 May) | 604 | 508 | 12,154 | 12,329 | 5.0% | 4.1% |
| 2023 (22 Apr) | −250 | 332 | 11,762 | 12,394 | −2.1% | 2.7% |
| 2024 (10 Apr) | 665 | 814 | 13,925 | 13,723 | 4.8% | 5.9% |
| 2025 (31 Mar) | 680 | 556 | 14,332 | 13,149 | 4.7% | 4.2% |
| **2026 (20 Mar)** | **1,816** | **659** | **17,714** | **17,641** | **10.3%** | **3.7%** |

## Annex 12 Retail Broiler Meat Price by Province, September 2026 (Rp/kg)

*Source : Bank Indonesia (2026a), PIHPS traditional markets, average of daily data 1–17 September 2026*




## Annex 13 MBG Chicken Demand: Inputs and Scenarios

*Source : Team Analysis; edible weight. At 30% frequency the base falls to 412kt. Other estimates: GOPAN 581kt (CNBC Indonesia, 2025); USDA ~1.0–1.1m t, also a production target (detikFinance, 2025); neither states a weight basis*

| Input | Value | Source |
|---|---|---|
| Recipients, 2026 target | 82.9m | BGN (2025a), Decree 401.1/2025 |
| Recipients, 2026 average | 71m | Our assumption: 59.9m enrolled in January, 63.1m by mid-2026 |
| Beneficiary mix | 77.5% students, 22.5% 3B | BGN via USDA FAS (2026c): 48.9m of 63.1m |
| Meal days, 3B group | 313 a year | BGN (2025a), kitchen operating days |
| School days, students | 200 / 220 / 240 | BGN (2025b) school-holiday guideline; our range |
| Extra Saturdays, priority districts | 44 a year | BGN (2026): 3T and high-stunting districts |
| Students in priority districts | 0% / 20% / 30% | Our assumption |
| Chicken frequency | 40% of servings | Our assumption; the guidelines set no frequency |
| Edible chicken per serving | 65 / 78 / 98 g | Our assumption from the protein standards in BGN (2025a) |
| National broiler demand, 2025 | 3.92m t | BPS, as cited in Ahdiat (2026) |

| Scenario | Bear | Base | Run-rate | Bull |
|---|---|---|---|---|
| Recipients (m) | 65.0 | 71.0 | 82.9 | 82.9 |
| School days, students | 200 | 220 | 220 | 240 |
| Students in priority districts | 0% | 20% | 20% | 30% |
| Weighted service days | 225 | 248 | 248 | 267 |
| Chicken per serving (g, edible) | 65 | 78 | 78 | 98 |
| **Chicken demand (kt)** | **381** | **549** | **641** | **867** |
| Share of national demand | 9.7% | 14.0% | 16.3% | 22.1% |

## Annex 14 ESG Pillar Scorecard

***Source : JPFA Sustainability Reports 2025 and 2024 (JPFA, 2026e, 2025); Annual Report 2025 (JPFA, 2026a); 1H26 statements (JPFA, 2026b); Annex 15***

| Pillar | Evidence (sustainability reports, Annual Report 2025, 1H26 statements) | Our assessment |
|---|---|---|
| **Environment** | Scope 1 86,675 tCO2e (−3.4%), Scope 2 638,908 (+7.8%), Scope 3 7.42m (91% of the total). Coal use ended in 2025. Renewables 36% of energy (2022: 38%). Hazardous waste −26%. | Scope 1 improving, Scope 2 rising, no Scope 2 or Scope 3 target |
| **Farmers and food security** | More than 8,700 partner farmers, training hours +90%. 65% of poultry-feed inputs sourced locally (2024: 62%). Many open-house farms stopped operating in 2025 (Annual Report 2025). | Mixed: productivity up, smallholder exit is a policy flashpoint |
| **Workforce safety** | 2 employee fatalities (2024: none). Accident rate 5.40 per million hours (2022: 2.10). Contractor accidents rose from 51 to 141. | **Negative in 2025** |
| **Governance** | Japfa Pte Ltd controls 56.3%. 2 of 5 commissioners independent (OJK minimum 30%). Related-party sales 2.65% of net sales (1H26). Over half of feed and DOC sold in-group. | Adequate, with controlling-shareholder risk |
| **Disclosure quality** | No external assurance. Pre-2024 emissions withdrawn after the 2024 baseline reset. Scope 3 extrapolated, no intensity metric, no number on the Scope 1 target. | Weak: useful for direction only |
| **Sustainable finance** | ESG spending Rp 467bn (2024: Rp 281bn). The US$350m sustainability-linked bond met its targets and was repaid in March 2026. JPFA took a Rp 1.42tn sustainability-linked loan from BNI in 2024, and the Japfa group added a US$150m one at parent level in 2025. | **Positive** |

## Annex 15 ESG Data, FY2022–FY2025

***Source : JPFA Sustainability Reports 2025 and 2024 (JPFA, 2026e, 2025); not externally assured. Emissions before FY2024 were withdrawn when the 2024 report reset the baseline***

| Indicator | Unit | FY2022 | FY2023 | FY2024 | FY2025 |
|---|---|---|---|---|---|
| Scope 1 GHG emissions | tCO2e | n.a. | n.a. | 89,754 | 86,675 |
| Scope 2 GHG emissions | tCO2e | n.a. | n.a. | 592,457 | 638,908 |
| Scope 3 GHG emissions (estimated) | tCO2e | n.a. | n.a. | 6,439,767 | 7,422,204 |
| Total energy consumption | GJ | 4,742,210 | 4,773,644 | 4,858,809 | 5,227,683 |
| Renewable share of energy | % | 38% | 34% | 35% | 36% |
| Coal consumption | GJ | 159,468 | 137,225 | 40,640 | 0 |
| Water recycled | megalitre | 89 | 204 | 236 | 395 |
| Hazardous waste | tonne | 1,802 | 2,150 | 1,073 | 790 |
| Non-hazardous waste | tonne | 115,075 | 125,813 | 119,841 | 145,514 |
| Employee fatalities | number | 0 | 1 | 0 | 2 |
| Employee accident rate | per 1m hours | 2.10 | 3.21 | 5.79 | 5.40 |
| Contractor accidents | number | 2 | 12 | 51 | 141 |
| Sustainability investment | Rp bn | 376 | 321 | 281 | 467 |
| Local sourcing: poultry feed / aquafeed | % of inputs | n.a. | n.a. | 62% / 40% | 65% / 43% |

## Annex 16 Sources and Verification

Sources, in order of preference: JPFA's own filings (annual and sustainability reports, audited and interim financial statements); government and agency data (BPS, Bank Indonesia PIHPS and JISDOR, BGN decrees, Bapanas and Ministry of Trade regulations, USDA FAS GAIN); and press reports of an official or association figure, used only where neither exists and named in the figure source. No brokerage research has been used, cited or paraphrased. Several inputs come from a JPFA Investor Relations session held over Zoom for all ERC 2026 participants in September 2026 (information shared with every competing team, per the booklet's condition on management interviews) and are cited as JPFA (2026d), or 'IR meeting' in figure sources: the feed formula (about 50% corn, 22–25% soybean meal), raw materials at about 90% of cost of goods sold, 40% of own birds processed in-house by 2030, FY26 capex of about Rp 3tn, and management's 25–30% processing growth plan (cited, not modelled). Peer data for CPIN and MAIN come from their own filings, and for the regional peers from their quarterly filings as compiled by Yahoo Finance. ESG ratings are from Morningstar Sustainalytics (via IDX, PitchBook and Sustainalytics), LSEG, MSCI (via MarketScreener) and S&P Global.

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